

SECTOR SHORT AUDIT · DIGITAL ASSET TREASURY COMPANIES

The MicroStrategy Trade, Cloned Forty Times

Two hundred companies copied a flywheel that only works above 1.0× NAV. The flywheel broke in June. An audit of who is merely cheap, who is structurally insolvent, and where a premium is still hiding in plain sight.

TON618 CAPITAL RESEARCH · EQUITY CLOSES 2 JULY 2026, CRYPTO SPOT 4 JULY 2026 (BTC \$63,170, ETH \$1,783, SOL \$81.82) ·

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INSOLVENT AT SPOT / HIDDEN
PREMIUMS / PHANTOM
TREASURIES — ACROSS THE 20-
NAME COHORT

The copycat premium is dead; the short has become selective. Across 20 pure-play treasury vehicles holding \$75B of crypto against \$10.1B of debt and \$14.8B of preferred, the median name now trades at a **discount** to its coins — the easy “short the premium” trade of 2025 has largely paid. What is left is better: **two equities that are worthless at spot on our marks (DFDV, UPXI)**, held up only by option value; **five hidden premiums the screens misprice (KULR 2.0×, ASST 1.6×, XXI 1.5×, BTCS 1.1×, MSTR 1.1×)** because trackers use float instead of fully diluted shares and ignore \$15B of senior claims; and a **\$1,753M-a-year fixed-charge drain** that must be paid from ATMs that stall exactly when coins fall. At -35% (BTC \$41,061), no additional large-cap goes to zero — but margin-call and collateral triggers fire well before zero at UPXI, NAKA, EMPD, FWDI and BTCS.

5

Names still at a TRUE premium to NAV once you count all the shares and the senior claims.

\$14.8B

Preferred liquidation preference across the cohort — \$25B of claims senior to every common share.

\$1.75B

Annual cash drain (preferred dividends + coupons), against operating revenue that rounds to zero.

13–16%

Yields the market now demands on Strategy's own preferreds (STRK/STRD/STRC) — the price of the flywheel's fuel.

01 The trade that made the sector, and the week that broke it

The playbook was Michael Saylor's: issue stock above the net asset value of your bitcoin, buy more bitcoin per share than the issuance costs, and call the difference “yield.” So long as the equity trades at a premium to NAV (an **mNAV** above 1.0×), issuance is mathematically accretive and the flywheel spins. Through 2025, more than two hundred listed vehicles copied it across bitcoin, ether and SOL — SPACs, reverse-merged medical-device makers, syringe companies, a Hong Kong meal-kit platform. The clones raised PIPEs at premium prices, stapled on warrants, and promised “coin per share” growth forever.

It stopped working in the ordinary way: the coins went down. Bitcoin has fallen roughly 50% from its October 2025 peak of ~\$126,000, ether 64% from ~\$4,950, SOL 68% from ~\$253. Premiums compressed through 1.0x and inverted; at a discount, every dollar of equity issued *dilutes* coin-per-share, so the flywheel runs backwards. Then June 2026 supplied the sector's credit event: **on 1 June, Strategy disclosed its first-ever bitcoin sale** (32 BTC) to fund preferred dividends, and in late June its variable-rate preferred **STRC broke its \$100 par anchor**, trading to the low \$70s in a leverage cascade before stabilizing — the first real stress test of the "digital credit" stack, and it failed the retail holders who bought it at par. JPMorgan warned the machine had converted the world's largest corporate bitcoin buyer into a potential seller. Strategy answered with a \$2.55B ring-fenced "USD Reserve," buybacks for both stock and preferreds, a 12% STRC rate, and an authorization to sell up to \$1.25B of bitcoin. The never-sell era is over; the question for every clone is what survives its own version of that week.

Scope. We audit 20 pure-play treasury vehicles (12 BTC, 5 ETH-lineage, 5 SOL, minus exits) with \$75B of aggregate crypto. We exclude operating companies that merely hold coins (Tesla, Block, Coinbase, exchanges), miners (MARA, Riot, CleanSpark, and American Bitcoin, a miner hybrid), and Trump Media (a media/cash hybrid). Two would-be entrants died on the launch pad and are covered as sidebars: the **Ether Machine** SPAC (terminated April 2026, \$50M break fee) and Cantor's **Bitcoin Standard Treasury** (30,021 BTC, merger vote postponed twice on unfinished PIPE financing; vote reset to 10 July with redemption deadline 8 July).

02 Method: the three illusions in every mNAV screen

Tracker mNAVs — market cap divided by crypto value — are wrong in three systematic ways, and all three flatter the longs:

- **The float illusion.** Screens use the listed share class or the tradable float. Twenty One Capital (XXI) shows a market cap of ~\$56M on screens — its true count is **651.65M shares** across Class A and Tether's supervoting Class B, sixty-five times the float. Post-SPAC and PIPE names (NAKA, BRR, STSS, HSDT, FWDI) carry pre-funded and par-strike warrants that are economically shares. We use **fully diluted counts from filings**: basic plus pre-funded/nominal-strike warrants plus in-the-money instruments; deeply out-of-the-money stapled warrants are excluded but noted as recovery-killers.
- **The senior-claim illusion.** Market cap over coins ignores debt and preferred. Strive (ASST) screens at a 13% *discount*; net of its \$783M SATA preferred (13% rate, issued daily via ATM), the common trades at a **1.57x premium** to residual NAV. We define **true mNAV = FD market cap ÷ (crypto + cash + operating stub – debt – preferred at liquidation preference)**.
- **The stale-holdings illusion.** Trackers still credit ETHZilla/Forum with 69,802 ETH; the 10-Q shows **12,441**, all pledged. They credit BTCS with 70,787 ETH; it holds ~57,600 after forced deleveraging sales. Sharps holds 2.01M SOL, not 2.08M. Six of our twenty names quietly *sold* treasury coins in Q1–Q2 2026 while marketing accumulation. Every holdings figure here is anchored to the latest SEC filing or dated company disclosure, not a tracker.

Operating stubs are carried at conservative marks (software/AM/consumer businesses at low revenue multiples); preferred at liquidation preference, which is what the common must climb over in a wind-down. Using market values of the preferreds would flatter the equity by the same distress the preferreds are pricing.

03 The audit table

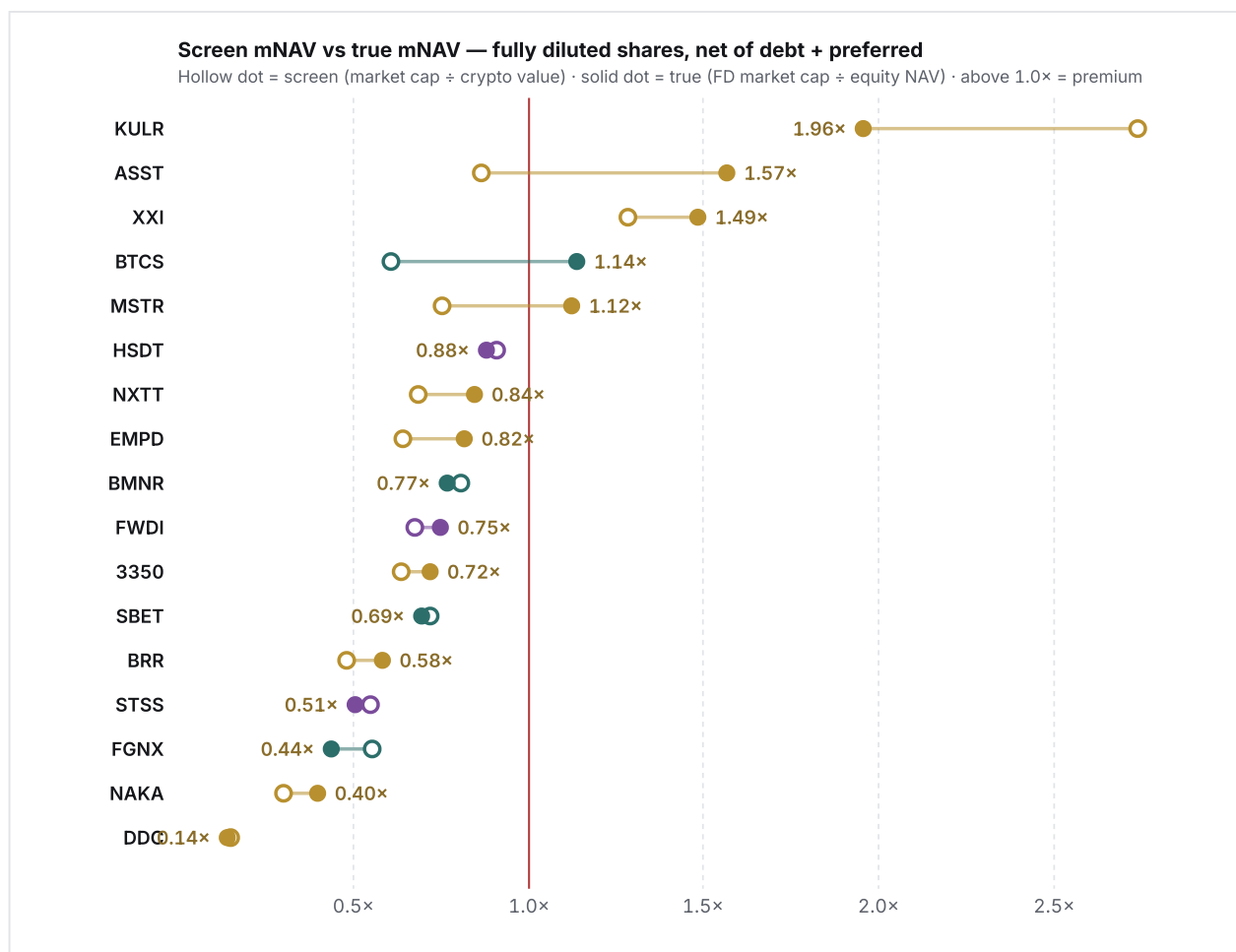
THE COHORT, RANKED WORST-FIRST FOR THE COMMON EQUITY (AS OF 2 JULY 2026 CLOSES; CRYPTO 4 JULY 2026). FD = FULLY DILUTED (ECONOMICALLY CERTAIN SHARES: BASIC + PRE-FUNDED/PAR WARRANTS + ITM INSTRUMENTS). PREF AT LIQUIDATION PREFERENCE.

NAME	COIN	HOLDINGS	FD MKT CAP \$M	DEBT \$M	PREF \$M	EQUITY NAV \$M	SCREEN MNAV	TRUE MNAV	NAV AT -35% \$M	DRAIN \$M/YR
DFDV DeFi Development Corp.	SOL	2,223,074	113	217	0	-23	0.62×	n.m.	-87	7
UPXI Upexi, Inc.	SOL	2,361,931	118	247	0	-46	0.61×	n.m.	-113	10
KULR KULR Technology Group	BTC	1,057	183	1	0	94	2.74×	1.96×	70	0
ASST Strive, Inc.	BTC	19,864	1,088	0	783	694	0.87×	1.57×	254	102
XXI Twenty One Capital, Inc.	BTC	43,514	3,532	486	0	2,376	1.28×	1.49×	1,414	5
BTCS BTCS Inc.	ETH	57,607	62	62	0	55	0.61×	1.14×	19	3
MSTR Strategy Inc	BTC	847,363	40,308	8,214	13,535	35,829	0.75×	1.12×	17,094	1,560
HSDT Solana Company (fka Helius)	SOL	2,071,127	154	0	0	175	0.91×	0.88×	116	0
NXTT Next Technology Holding	BTC	5,833	254	110	0	300	0.69×	0.84×	171	0
EMPD Empery Digital Inc. (fka V	BTC	2,914	118	55	0	145	0.64×	0.82×	80	4
BMNR BitMine Immersion Technolo	ETH	5,700,040	8,185	0	350	10,638	0.81×	0.77×	7,081	33
FWDI Forward	SOL	7,550,000	418	90	0	559	0.68×	0.75×	343	2

NAME	COIN	HOLDINGS	FD MKT CAP \$M	DEBT \$M	PREF \$M	EQUITY NAV \$M	SCREEN MNAV	TRUE MNAV	NAV AT -35% \$M	DRAIN \$M/YR
Industries, Inc.										
3350 Metaplanet Inc.	BTC	43,000	1,724	280	150	2,386	0.64×	0.72×	1,436	7
SBET Sharplink, Inc.	ETH	886,725	1,142	0	0	1,646	0.72×	0.69×	1,092	0
FRMM Forum Markets (fka ETHZill	ETH	12,441	80	26	0	117	3.58×	0.68×	109	4
BRR ProCap Financial, Inc.	BTC	5,405	165	100	0	283	0.48×	0.58×	163	0
STSS Sharps Technology, Inc.	SOL	2,009,494	90	0	0	179	0.55×	0.51×	121	0
FGNX FG Nexus Inc.	ETH	28,296	28	2	16	64	0.55×	0.44×	46	1
NAKA Nakamoto Inc. (fka KindlyM	BTC	4,467	84	165	0	212	0.30×	0.40×	114	13
DDC DDC Enterprise (DayDayCook	BTC	2,383	22	29	0	158	0.15×	0.14×	105	2

DFDV and UPXI (shaded) have negative equity NAV at spot on our marks: DeFi Development carries \$217M of debt and financing against ~\$182M of SOL with \$3.7M of cash and book equity of \$10.2M as of 31 March; Upexi carries ~\$247M of principal claims (of which ~\$150M is repayable in-kind in SOL) against ~\$193M of SOL, roughly half of it locked or spoken for by noteholders. Both equities are now option premium on a SOL recovery, funded by dilution. NXTT's figures assume its claimed 5,833 BTC exist — see the phantom bucket in §07. FRMM appears in the data but is excluded from charts: with 12,441 pledged ETH against a larger loan it is no longer economically an ETH treasury.

EXHIBIT 1 — SCREEN VS TRUE MNAV

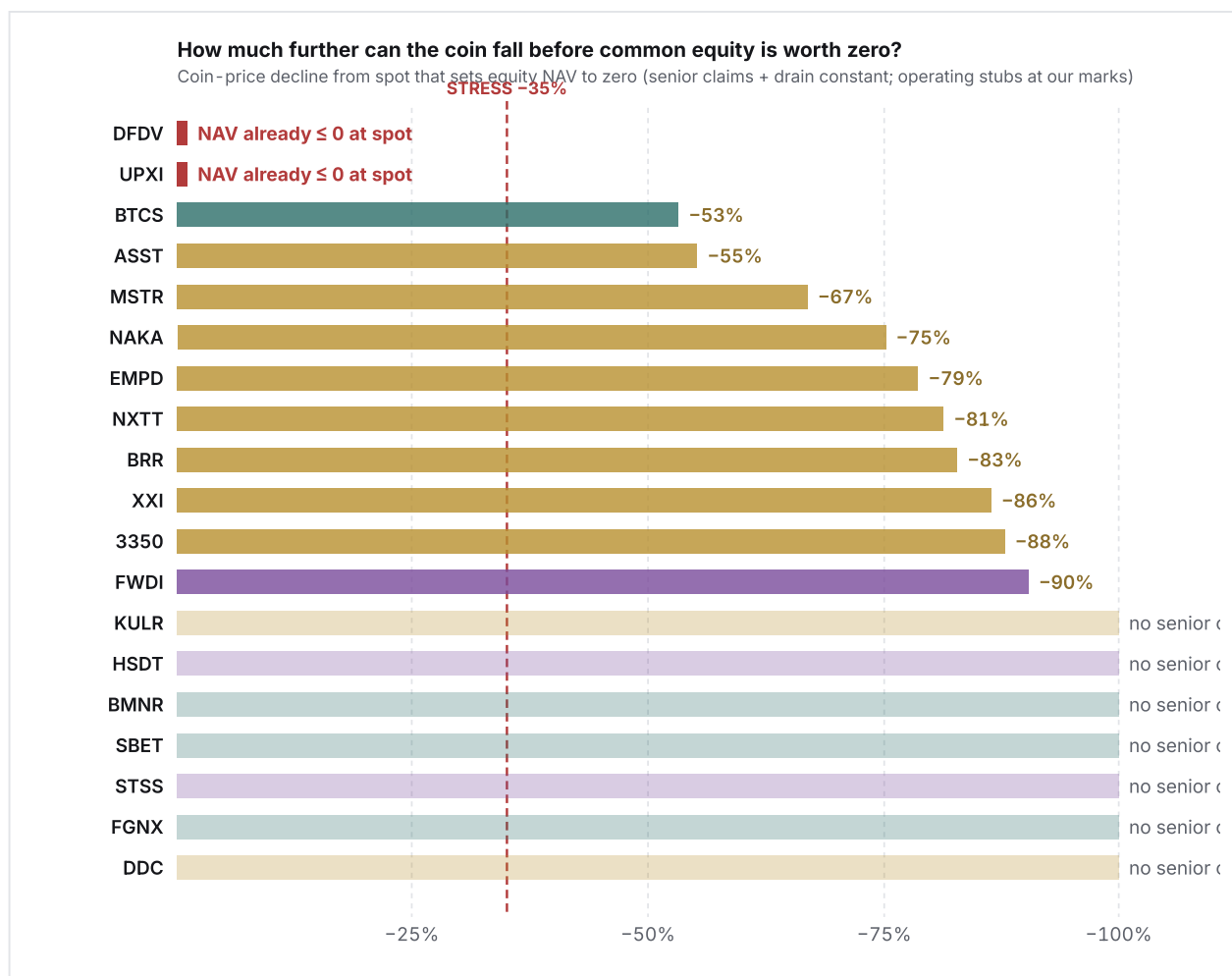


The chart is the thesis. On screens, everything looks like a discount and the shorts look done. Count all the shares and subtract the senior claims, and five names are still being paid a premium for the privilege of destroying coin-per-share — and the deepest “discounts” (DDC at 0.14×, NAKA at 0.40×) are cheap for reasons: unverifiable share counts, encumbered coins, or debt walls.

04 The stress test: –35% from here

We reprice every treasury at BTC \$41,061, ETH \$1,159, SOL \$53 — a further 35% drawdown from spot, on top of the 50–68% already suffered, holding senior claims and our operating-stub marks constant.

EXHIBIT 2 — DISTANCE TO COMMON-EQUITY ZERO



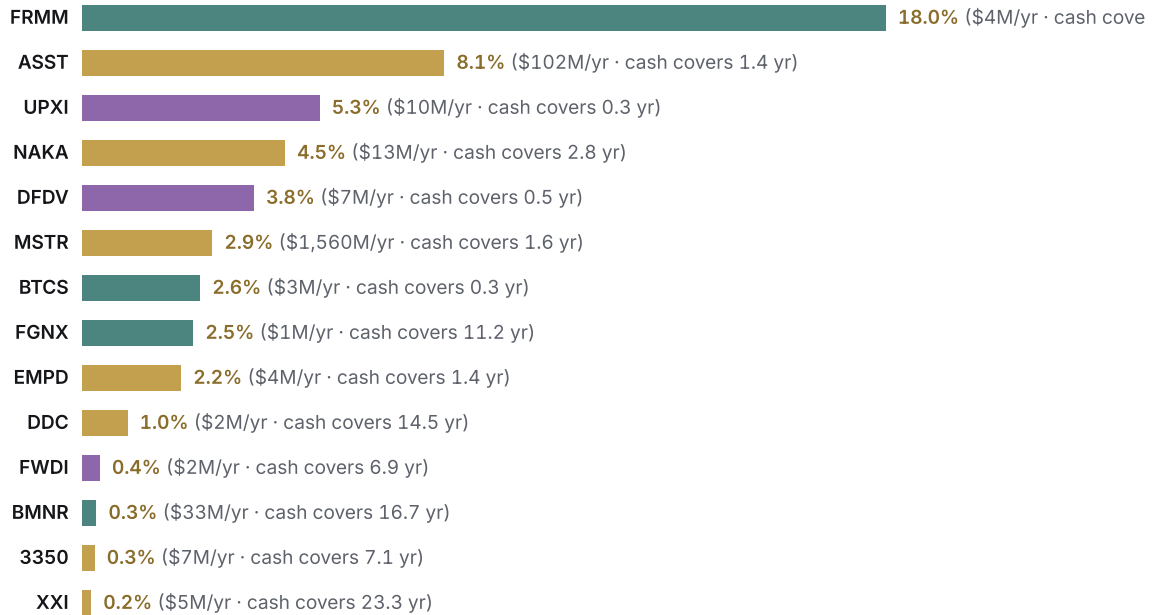
Three findings. **First**, the headline solvency question is already answered at spot for DFDV and UPXI — the stress test is redundant there. **Second**, among the levered names the cushion ranking is: NAKA is wiped by a further ~65% fall *if* its Bitcoin Magazine/UTXO goodwill is worth our \$60M mark (on coins alone, ~-51%); MSTR by ~-67% (BTC ~\$20,900, the level at which \$21.7B of debt + preferred exceeds the stack); EMPD by ~-79%; XXI by ~-86%. **Third — and this is the practical point — solvency is the wrong trigger.** The sector's debt is margin debt: Upexi's BitGo facility calls collateral at 175% coverage; Empery's lender calls at 153% and liquidates at 143% with a 12-hour cure (it was already margin-called in February); Nakamoto's Kraken loan (~85% of its BTC pledged) and Forward's Galaxy loans (7-day evergreen, callable, rehypothecable) sit similarly. At -35%, every one of these lenders is calling for coins or cash simultaneously, into the same falling market — the same reflexive spiral that made STRC break par, running through balance sheets one-hundredth Strategy's size with none of its \$2.55B reserve.

05 The drain league: who must sell coins just to stand still

EXHIBIT 3 — FIXED CHARGES VS TREASURY

The drain league — annual preferred dividends + cash coupons vs the treasury that must fund them

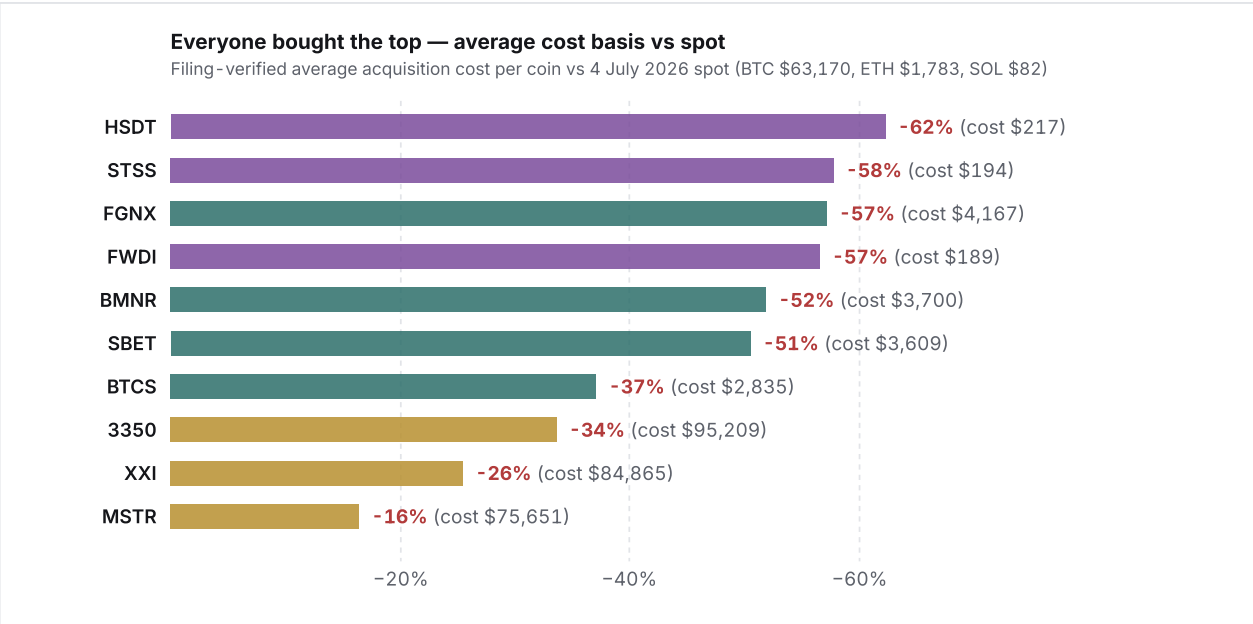
Bars: fixed charges as % of crypto value at spot · right label: \$ drain and years of cover from balance-sheet cash



Preferred dividends and coupons are the sector's quiet killer because coins yield nothing (BTC) or 2.5–4% (staked ETH/SOL — price-correlated and paid in kind). **Strive is the extreme case:** its SATA preferred costs ~\$102M a year at a 13% rate against ~\$11M of operating revenue — and the rate is board-adjustable *upward*, the liquidation preference ratchets, and the instrument is being issued continuously through a \$2.6B ATM. The machine only works if SATA keeps selling; SATA only sells if the yield stays seductive; the yield is a claim on the same BTC the common thinks it owns. **Strategy's \$1.56B/yr** drain is 2.9% of its stack — small in percentage terms, but it is why the never-sell rule died. **BitMine's** new 9.5% preferred — sold at \$80 on a \$100 ratcheting face, an 11.9% effective cost — layers \$33M/yr of charges onto a balance sheet that had none in February. Selling perpetual preferred at a 20% discount to face to buy ETH at half your cost basis is not accretion; it is paying junk-credit rates to average down.

06 Everyone bought the top

EXHIBIT 4 — COST BASIS VS SPOT



No vehicle in the cohort is above water. The flagship costs basis: Strategy \$75,651, Twenty One \$84,865, Metaplanet \$95,209 against BTC \$63,170; BitMine ~\$3,400–4,000 (the company has claimed \$2,840; on-chain analysts compute ~\$4,000 — the dispute is itself a red flag) and SharpLink \$3,609 against ETH \$1,783; the SOL cohort \$188–217 against \$82. This matters beyond embarrassment: underwater treasuries convert “accretive issuance” math into realized-loss harvesting (six names sold coins at losses in H1), and it strips the “coin per share” KPI of meaning — DDC advertises *BTC Yield of 1,493% since first purchase* while its stock is down ~95% and its unrestricted cash is \$3.0M.

07 The phantom bucket

- Three claimed treasuries fail basic verification, and we treat them as unshorable curiosities rather than positions:
- **GD Culture Group (GDC)** tags 7,500 BTC (\$500M) on its unaudited 10-Q — acquired via a share-swap with a Cayman counterparty — while reporting **\$16,805 of cash**, a sub-\$150M market cap, and no named institutional custodian. No proof-of-reserves, no big-four audit, share count distorted by serial reverse splits.
 - **Next Technology (NXTT)** claims 5,833 BTC largely acquired in share-settled deals; standard crypto-asset XBRL tags are absent from its filings, no independent custody attestation exists, and it carries \$110M of opaque debt. Our table takes the claim at face value and it *still* screens as only a modest discount on true shares.
 - **MicroCloud Hologram (HOLO)** claims ~\$150M of BTC and derivatives against a ~\$20M market cap; its share-count history does not reconcile across filings.

The pattern — China-linked shells, holdings announced via press release, acquired for shares rather than cash, never attested — is the sector’s fraud tail. If any of the three is real, the equity is absurdly cheap; that is precisely the bet we decline to underwrite either way. Position: avoid; do not short what you cannot borrow and cannot verify.

08 Forensic screens

FORENSIC SCREENS ON THE SIX US FILERS WITH SUFFICIENT HISTORY (FY2025 AS-REPORTED EDGAR XBRL; OUR FORENSIC-ACCOUNTING ENGINE)

NAME	VERDICT	KEY SIGNALS
DFDV	SERIOUS RED FLAGS	M-Score -0.96 (manipulator band); Altman Z' -0.29 (distress); Piotroski F 2/9; dilution +39% y/y
EMPD	SERIOUS RED FLAGS	M-Score +11.9 (manipulator band, pivot-distorted); Altman Z' -0.72 (distress); Montier C 4/6; DSO 117 days; going-concern language in the 10-K
KULR	ELEVATED CONCERN	Altman Z' -78 (distress); Piotroski F 3/9; profit without free cash flow; auditor change; late-filing notices
NAKA	ELEVATED CONCERN	Altman Z' 0.10 (distress); dilution +567% y/y; auditor dismissed Jun 2026 with disclosed material weakness
BTCs	ELEVATED CONCERN	Altman Z' 0.68 (distress); Piotroski F 2/9; dilution +38% y/y; near-zero fiat cash
UPXI	ELEVATED CONCERN	Interest coverage deeply negative; Montier C 3/6; material weaknesses in internal controls (10-Q)

Standard caveats: Beneish M-Score and DSO trends assume a continuing business model; treasury pivots distort revenue-linked components (EMPD's +11.9 reflects its Volcon-to-treasury metamorphosis as much as manipulation risk). The Altman distress readings and dilution rates are the robust signals here — every screened name sits in the distress zone, and the two "serious" verdicts (DFDV, EMPD) align with the two most stressed balance sheets in the audit table.

09 The endgame taxonomy — how these stories end

The sector is no longer one trade; it is four different endgames, each with its own short logic:

a) The unwinds (already conceded)

Sequans (SQNS) is the case study: it sold its BTC through H2 2025–May 2026 to redeem 100% of its convertible debentures and formally exited the strategy — the first full round trip. **FG Nexus** (board-authorized full crypto exit into manufactured housing, 1 July) and **Forum Markets** (née ETHZilla — sold 57,726 ETH, pivoted to aircraft-engine tokenization) followed. **Empery Digital** announced on 1 July it will stop accumulating and may sell BTC to fund an AI-data-center JV. The unwind cohort proves the discount closes two ways: the good way (SQNS: sell coins, retire claims) and the bad way (FRMM: sell coins, buy aircraft engines). Shorting an announced unwind is late; the trade is identifying the *next* forced unwind — the drain league and margin-call map above are that list.

b) The consolidation (discounts as currency)

Forward Industries' unsolicited \$1.48/share bid for Solana Company (HSDT) — rejected unanimously in May — is the opening move of DAT-on-DAT M&A: buying SOL at 60 cents on the dollar via a stock deal. Expect more; Galaxy expects five-plus failures/mergers this year. M&A is the main squeeze risk to shorts of the deepest sub-scale discounts (HSDT, STSS, DDC).

c) Lever-and-pray (the short book)

DFDV, UPXI, NAKA, BTCS — negative or near-negative NAV, margin debt against the treasury, cash under one year of obligations, all still issuing equity below NAV to stay alive. These are melting-ice-cube shorts where the bull case requires a coin rally to arrive *before* a margin call.

d) The premium relics (the clean shorts)

KULR at 2.0× true mNAV, ASST at 1.6×, XXI at 1.5× — the last three vehicles whose common is still priced above liquidation math, each for a soft reason (small float, preferred camouflage, index/narrative flows) rather than a fundamental one.

10 Where we would be short — and what kills the trade

RANKED SHORT THESES (NOT ADVICE; SEE DISCLOSURES)

#	NAME	THESIS	CATALYST	PRINCIPAL RISK
1	ASST Strive	Screen discount is a 1.57× true premium behind \$783M of 13% preferred growing via ATM; \$102M/yr drain vs \$11M revenue; treasury includes another DAT's preferred (505k STRC)	SATA ATM saturation; STRC mark; drain forces BTC sales	BTC rally re-rates the pref machine; Ramaswamy retail following
2	KULR	2.0× true mNAV for 1,057 BTC plus a sub-scale battery business in Altman distress; the last uncorrected 2025-style premium	ATM issuance into the premium; BTC weakness	Tiny float squeeze; defense-contract narrative
3	XXI Twenty One	1.49× true mNAV once 651M shares are counted; zero accretion since listing; no revenue; \$487M converts; resale registrations = structural supply	Lock-up/resale flow; float expansion mechanically closes the premium toward NAV	~10M-share float is violently squeezable; borrow scarce/expensive — size accordingly or express via options
4	UPXI Upexi	Negative NAV at spot; 11.5% BitGo margin loan with 175% call trigger; Nasdaq 5635(a) non-compliance; converts repayable in-kind consume half the treasury by 2028	Margin call at SOL weakness; 10 Aug Nasdaq plan deadline	Borrow cost; SOL beta rips; Hivemind recapitalizes it again
5	BTCS	1.14× true mNAV; Aave-levered ETH loop already forced 10,000 ETH of sales; \$285k of cash vs \$17.9M secured converts due mid-2027	2027 maturity wall; Aave health factor at ETH ~\$1,100	Small position sizes only; ETH rally heals the loop

Construction. Every short here is a *relative* trade against the coin, not a crypto-direction bet: pair each short against a long in spot BTC/ETH/SOL or the ETFs, sized to the name's treasury exposure, so the P&L isolates the premium/discount, the drain, and the dilution — the parts we have underwritten. Naked shorts of sub-\$100M-float names in this sector are squeeze bait regardless of how right the balance-sheet math is; FGNX (5.7M shares outstanding after buybacks) is the cautionary example of a melting NAV that could still triple on a squeeze. Prefer defined-risk structures (puts, put spreads) where options exist (MSTR complex, BMNR, SBET); expect 20–100%+ annualized borrow on the microcaps.

What kills the thesis. (1) A violent crypto rally: at BTC \$90k+ most discounts close and the premium relics re-rate — the pair construction is the defense. (2) Buybacks: a dozen names are shrinking share count below NAV (FGNX has retired ~20% of its stock; SBET, FWDI, HSDT, BRR all bought back in June); executed well, buybacks are genuinely accretive and close discounts — which is why our shorts are premiums and insolvencies, not mere discounts. (3) M&A takes out the deep discounts at premiums to market. (4) The Ether Machine termination and CEPO's struggling PIPE show new supply has stopped — scarcity can support survivors' ratings. (5) Crowding: short interest in the sector is already elevated; entries matter, and June's STRC cascade bottom (MSTR +23% off the low in three sessions) is what covering rallies look like.

11 Bottom line

The MicroStrategy trade was cloned forty times at a premium, and the premium is gone; cloning it at a discount is a slow liquidation with extra steps. The sector now separates into survivors with scale and unlevered balance sheets (BMNR and SBET at ~0.7x with zero/no debt are, honestly, the hardest names to be short), zombies paying junk-credit rates to stand still, insolvent option tickets, and three treasuries that may not exist. The short book writes itself from the audit: **short the hidden premiums (ASST, KULR, XXI) and the margin-debt zombies (UPXI, BTCS), paired against the underlying coins; avoid the phantoms; respect the squeezes; and let Strategy's \$1.56B-a-year drain — now paid partly by selling bitcoin — keep reminding the market what these structures cost.**

Sidebar — the launch pad went quiet

The clone factory's order book tells the cycle's story. **The Ether Machine** — 496,712 ETH, the would-be "MicroStrategy of Ethereum" — terminated its Dynamix SPAC merger in April 2026 for "unfavorable market conditions," paying \$50M to walk away; the ETH stays private. **Bitcoin Standard Treasury** (Adam Back, 30,021 BTC, Cantor SPAC) has postponed its shareholder vote twice because the PIPE will not fill, with BTC ~15% below the S-4's \$74,008 modeling scenario and trust redemptions offering \$10+ certain. When the market will not even print a new DAT at NAV, the sector's terminal multiple argument is settled.

Method & sources

Holdings, share counts, debt, preferred and cash are compiled from SEC filings (10-K/10-Q/8-K/424B/S-4, EDGAR XBRL companyfacts), company press releases and dashboards as of early July 2026, cross-checked against CoinGecko/The Block treasury trackers (and corrected where trackers are stale, as noted). Prices: FMP consolidated quotes, 2 July 2026 US close (3 July holiday - observed); crypto spot 4 July 2026; USDJPY 161.4 for Metaplanet. Forensic screens: TON618 forensic-accounting engine over as-reported EDGAR XBRL (Beneish, Altman Z', Piotroski, Montier, accruals, dilution, filing-record scans), FY2025 basis. Stress test holds senior claims, cash and operating-stub marks constant and reprices crypto -35%; it ignores staking yield (modest, coin-denominated) and any management response, favorable or otherwise. Key third-party context: JPMorgan and Bitwise commentary on the June 2026 STRC episode; Galaxy Research on 2026 DAT consolidation. Figures are point-in-time; several names disclose weekly — verify before acting.

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